

Alcohol Corporation for 1931 and 1932. As an example covering a larger stretch of years we submit the following contrast between the average earnings of United States Industrial Alcohol Company for the ten years 1929–1938, as shown by the reported per-share figures and as indicated by the changes in its net worth in the balance sheet.

U. S. Industrial Alcohol Company, 1929–1938

1. Net earnings as reported

1929	\$4,721,000	*per share: \$12.63
1930	1,105,000	2.95
1931	1,834,000(d)	4.90(d)
1932	176,000	0.47
1933	1,393,000	3.56
1934	1,580,000	4.03
1935	844,000	2.15
1936	78,000	0.20
1937	456,000(d)	1.17(d)
1938	668,000(d)	1.71(d)
Total for 10 years	\$6,782,000	\$18.21

* As stated in the company's annual reports.

2. Discrepancy between earnings as above and changes in the surplus account

Net earnings 1929–1938, as reported.....	\$ 6,782,000
Less dividends paid	5,959,000
(A) Indicated balance to surplus	823,000
Earned surplus Dec. 31, 1928.	14,214,000
Less charge @ write-down of plant account to \$1 in 1933	455,000
Earned surplus Dec. 31, 1928, as adjusted.	13,759,000
Earned surplus and contingency reserve, Dec. 31, 1938	5,736,000
(B) Decrease in surplus on balance sheet.	8,023,000
Discrepancy between earnings shown in income accounts and those indicated by balance sheets	\$ 8,846,000

3. Explanation of Discrepancy

Charges made to surplus and not deducted in income account
from which earnings per share were computed by company:

Mark-down of inventory	\$4,500,000
Charge-off and write-down of various assets	3,969,000
Miscellaneous adjustments, net.	377,000
	<u>\$8,846,000</u>